

Question #1 of 19

Question ID: 1586731

All of the following statements in promotion of your services are in violation of CFA Institute Standards of Practice handbook EXCEPT:

- A)** I guarantee under my management that you will receive returns in excess of the market index average.
 - B)** based upon my research, you will achieve a 20% compound annual rate of return on small cap stocks over the next 5 years.
 - C)** I passed Level II of the CFA Program in 2003.
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Question #2 of 19

Question ID: 1586722

Which of the following statements regarding disciplinary procedures is *least* accurate?

- A)** A review panel is created from Disciplinary Review Committee members.
 - B)** If the CFA member or candidate rejects the sanction, the charges and sanctions may be reviewed.
 - C)** The sanctions imposed by the Professional Conduct staff are final and conclusive.
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Question #3 of 19

Question ID: 1586726

Anderson, Baker and Chang all received their CFA charters and ordered new business cards. Their business cards are as follows:

G. J. Anderson, CFA

B. K. Baker, Chartered Financial Analyst

M. S. Chang, C.F.A

Which of the business cards use the CFA marks improperly?

- A)** Baker and Chang.
- B)** Anderson and Chang.

C) Chang.

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Question ID: 1586729

A CFA Institute member puts the following statement on her resume: "I passed each level of the CFA exam on the first try." Is this a violation of Standard VII(B)?

- A) No, because it is a statement of fact.
 - B) Yes, because saying she passed exams on the first try is not appropriate.
 - C) Yes, because she incorrectly refers to the CFA exam.
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Question #5 of 19

Question ID: 1586721

Which of the following is *least likely* a violation of the Standard concerning conduct as participants in CFA Institute programs?

- A) Disregarding the rules related to the administration of the CFA examination.
 - B) Improperly using the CFA Designation to further professional goals.
 - C) Expressing opinions in disagreement with CFA Institute advocacy positions.
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Question #6 of 19

Question ID: 1586733

Ralph Lim and Susan Bland have both passed Level I of the CFA Program. Both are currently enrolled to sit for Level II. Lim's business card reads, "Ralph Lim, CFA Level I." Bland's resume states, "Level II Candidate in the CFA Program." According to CFA Institute Standards of Professional Conduct involving use of the professional designation:

- A) Bland violated the Standard, but Lim did not.
 - B) Lim violated the Standard, but Bland did not.
 - C) Both Lim and Bland violated the Standard.
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Question ID: 1586723

Nancy Arnold receives an undergraduate business degree with a management major and has completed all the requirements for the CFA designation. She is applying for employment at several brokerage firms. Her resume states, "I will soon be awarded the CFA charter by CFA Institute." Her resume also states that she majored in finance. Arnold's statements violate:

- A)** only the Standard on misrepresentation.
 - B)** both the Standards on misrepresentation and reference to the CFA designation.
 - C)** only the Standard on reference to the CFA designation.
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Question ID: 1586725

John Johnson, portfolio manager at Sunshine Investments, has passed all three levels of the CFA[®] Program and has completed his work experience requirements. He expects to receive his charter in the near future. He includes the following statement in his firm's brochure: "Johnson has passed all three levels of the exam and has completed the required work experience for the CFA Charter. He is eligible for the CFA Charter and expects to receive the charter in the near future. Over the years, he has demonstrated a superior performance and his CFA Charter will be rightfully awarded." Johnson has:

- A)** violated CFA Institute Standards of Professional Conduct because he implied superior performance that would be linked to the CFA Charter.
 - B)** not violated CFA Institute Standards of Professional Conduct because he met all disclosure requirements.
 - C)** violated CFA Institute Standards of Professional Conduct because he advertised the CFA Charter before actually obtaining it.
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Question #9 of 19

Question ID: 1586735

All of the following situations violate Standard VII(B), Reference to CFA Institute, the CFA Designation, and the CFA Program, EXCEPT:

Karen Wright received her CFA charter in 1980. In 2001, she stopped paying her annual CFA Institute dues. During her retirement speech in 2002, Wright said,

- A)** "Although I am no longer an active CFA charterholder, I was awarded the right to use the CFA designation in 1980 and maintained active membership in CFA Institute for 20 years."

John Cabell has satisfied all the requirements imposed by CFA Institute for the right

- B)** to use the Chartered Financial Analyst designation. His business cards say: John Cabell, C.F.A.

Barney Latrell, when introducing himself to a prospective client, says, "I completed

- C)** my CFA in 1995, which required passing three six-hour examinations over a three year period."
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Question ID: 1586727

Judy Albert and Bob Tye, who recently started their own investment advisory business, plan to take the Level III CFA examination next year. Albert's business card reads, "Judy Albert, CFA Candidate." Tye has not put anything about the CFA on his business card. However, the firm's promotional materials describe the CFA requirements and indicate that Tye participates in the CFA program and has completed Levels I and II. According to CFA Institute Standards of Professional Conduct:

- A)** Both Albert and Tye have violated the Standards.
- B)** Albert has violated the Standards but Tye has not.
- C)** Neither Albert nor Tye has violated the Standards.
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Question ID: 1586736

Robert Hopkins has earned the right to use the CFA designation and wants to indicate this on his business card. According to CFA Institute Standards of Professional Conduct, which of the following is the proper use of the professional designation on his business card?

- A)** Robert Hopkins, C.F.A.
- B)** Robert Hopkins, Chartered Financial Analyst.
- C)** Robert Hopkins, cfa.

Question #12 of 19

Question ID: 1586719

A CFA charterholder coaches a fellow employee as that colleague studies for the CFA exams. The charterholder tells the colleague all that she remembers from her exams and how they were constructed. This is:

- A)** not a violation of the standards.
 - B)** a violation of Standard I(D) concerning professional misconduct.
 - C)** a violation of Standard VII(B) concerning use of the designation.
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Question #13 of 19

Question ID: 1586718

For the past 5 years, Karen Beckworth, CFA, has served as a proctor for the CFA exam. Beckworth tells her assistant, a Level III CFA candidate, that she normally receives the examinations on the Thursday before the exam. Given the low pass rate at Level III, Beckworth asks her assistant if he would like an advance copy of the next exam. Beckworth's assistant declines the offer.

Beckworth's assistant has been very vocal about expressing his opinions about the low pass rate. The assistant claims, "there are too many charterholders and CFA Institute is deliberately failing candidates because the prestige of the CFA charter is becoming diluted."

With regard to Standard VII(A) Conduct as Participants in CFA Institute Programs, which of the following statements concerning Beckworth's and her assistant's behavior is *most accurate*?

- A)** Neither Beckworth nor her assistant is in violation of Standard VII(A).
 - B)** Beckworth is in violation of Standard VII(A), but her assistant is not in violation.
 - C)** Both Beckworth and her assistant are in violation of Standard VII(A).
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Question #14 of 19

Question ID: 1586732

Nichole Zeller and Randy Toffler have both passed Level II of the CFA Exam Program and have registered for Level III. Zeller circulates a resume stating that she is a candidate for the CFA designation and has passed Level II of the CFA program. Toffler circulates a resume stating that he is a CFA II. Which of the following statements is CORRECT?

- A)** Both Zeller and Toffler have violated the Code of Standards.
 - B)** Only Toffler has violated the Code of Standards.
 - C)** Only Zeller has violated the Code of Standards.
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Question ID: 1586720

Ron Vasquez is registered to sit for the Level II CFA exam. Unfortunately, Vasquez has failed the exam the past two years. In his frustration, Vasquez posted the following comment on a popular internet bulletin board: "I believe that CFA Institute is intentionally limiting the number of charterholders in order to increase its cash flow by continuing to fail candidates. Just look at the pass rates."

With regard to the Standards concerning misconduct and conduct as participants in CFA Institute programs, Vasquez is:

- A)** not in violation of either Standard.
 - B)** in violation of only one of these Standards.
 - C)** in violation of both of these Standards.
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Question ID: 1586734

Which of the following statements is a violation of the Standards if it is included on a CFA charterholder's resume?

- A)** Earning the CFA designation indicates my desire to maintain high ethical standards.
 - B)** To earn the CFA designation I had to pass three rigorous examinations.
 - C)** Earning the CFA designation indicates my superior ability.
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Question #17 of 19

Question ID: 1586724

Janet Olson, CFA, is an analyst at Quantech Associates. Olson attended a conference at which Brian Wright presented several proprietary computerized spreadsheets that he had developed to value high-tech stocks. While at the conference, Olson copied the spreadsheets without Wright's knowledge. Later, Olson made several minor changes to Wright's initial model. After testing the revised model, Olson was impressed with the results. As inputs for the model, she used factual materials supplied by Moody's Investors Service, a recognized financial and statistical reporting service. Olson wrote a research report describing the revised model and its results and distributed the report to Quantech's clients. According to CFA Institute Standards of Professional Conduct, which of the following actions is Olson required to take? Olson is:

- required to seek the authorization from Wright to copy the spreadsheets,
 - A) acknowledge Wright for developing the initial model but is not required to acknowledge Moody's Investors Service as the source of the data.**
 - required to seek authorization from Wright to copy the spreadsheets and
 - B) acknowledge Wright for developing the initial model and Moody's Investors Service as the source of the data.**
 - required to acknowledge Moody's Investors Service as the source of the data but is
 - C) not required to seek authorization from Wright to copy the spreadsheets or to acknowledge Wright for developing the initial model.**
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Question ID: 1586728

Julie Stades retired several years ago and relinquished her membership in CFA Institute. She had the CFA designation up until then. She has decided to go back to work and puts the following statement on her resume: "I earned the CFA designation 10 years ago." Is this a violation of Standard VII(B)?

- A) Yes, because she is no longer an active member.**
 - B) No, as long as she does not indicate she currently has the designation.**
 - C) Yes, she must state that she no longer holds the CFA designation.**
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Question #19 of 19

Question ID: 1586730

When Wes Smith first joined Advisors, Inc., he was excited that all the analysts at the firm had the CFA designation. In letters to prospective clients, he states that this ensures that Advisors can provide better service than their competitors. This statement violates the Standard on reference to CFA Institute, the CFA designation, and the CFA program:

- A)** only because he may not tie the CFA designation to a guarantee of better service.
- B)** both because he mentions the CFA designation and ties it to a guarantee of better service.
- C)** only because he mentions the CFA designation in the letter.